



*Insider trading.* Corporate insiders, such as officers and executives, can legally buy and sell shares in their companies, but not on the basis of non-public information. For example, a CFO cannot unload shares on the basis of negative financial news that has not yet been released. Insiders are also barred from tipping off friends, family, and business associates.

*Ponzi schemes.* This is the practice whereby a money manager distributes returns to existing investors from funds acquired from new investors. These schemes generally collapse once a fund runs out of fresh capital. The most infamous Ponzi scheme to date was that orchestrated by fund manager Bernard Madoff, starting in the 1990s and continuing until his arrest in 2008.

*Pump and dumps.* A “pump and dump” occurs when a brokerage acquires a large amount of stock, spreads false news meant to increase the stock’s value, then quickly sells its position before the fraud is uncovered.

*Front running.* This occurs when a brokerage acquires a block of shares in a particular company before executing a large, pending buy order from a client. The client’s order, if large enough, will increase the value of the stock, allowing the firm to profit from its foreknowledge of the transaction.

## In Canada

The Toronto Stock Exchange is Canada’s largest and most commonly used stock market. It is overseen by the Ontario Securities Commission. Stock markets also operate in Vancouver and Montreal.

Businesses operating in Canada must file tax returns to the Canada Revenue Agency. Forms may be filed through the mail or electronically. Unlike the US, the federal government in Canada imposes a value-added tax known as the Goods and Services Tax (GST). The current rate is 5 percent. The tax is levied on manufacturers and producers throughout the chain of production. In some cases, companies can claim tax credits for VAT already paid. In some provinces, the GST is included in the Harmonized Sales Tax (HST).

## ORGANIZATIONS AND RESOURCES

### Financial reporting

The Securities and Exchange Commission provides information on financial reporting requirements for publicly listed companies.

<http://www.sec.gov>

The Financial Accounting Standards Board website features educational webcasts and seminars for finance and accounting professionals.

<http://www.fasb.org>

The Association of Chartered Accountants in the United States offers online training videos, while the CFA Institute maintains a glossary of finance and investment terms.

<http://www.acaus.org>

<http://www.cfainstitute.org>

### Corporate fraud

Those who wish to report corporate fraud may approach the SEC directly through its Office of the Whistleblower.

<http://www.sec.gov/whistleblower>

Similarly, the Internal Revenue Service maintains an office through which the public can anonymously report suspected corporate tax cheats.

<http://www.irs.gov>

### In Canada

The Canada Revenue Agency website has information on the GST and other taxation issues.

<http://www.cra-arc.gc.ca>

The Ontario Securities Commission offers a number of online resources for companies considering a listing on the Toronto Stock Exchange.

<http://www.osc.gov.on.ca>